2. **Verify Details of Contract:** He should study the loan contract, terms and conditions of loan, rate of interest, nature of security, type of pledge etc.
3. **Proper Authorisation by Directors:** He should refer the minuts book of directors to know that bank overdraft is duly authorised.
4. **Confirm Overdraft Balance:** He should confirm the amount of overdraft from the bank at the close of the year.



6.5.4 Outstanding Expenses

MEANING

Expenses which have been incurred but not yet paid during the accounting period for which the final accounts are being prepared are called as Outstanding Expenses.

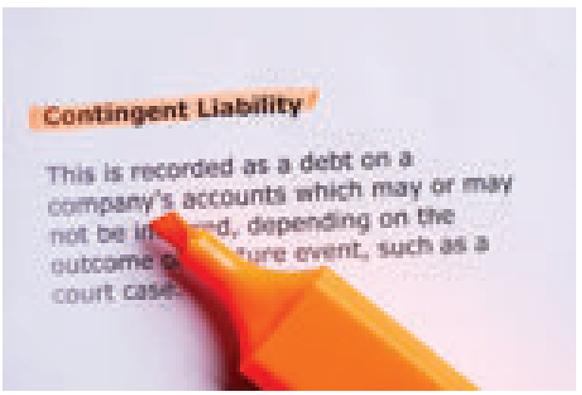
AUDITOR'S DUTY

1. **Verify list of Outstanding Expenses:** The auditor should ask for a list of outstanding expenses certified by a responsible officer from the client with classification as per the nature of expenses.
2. **Verify Cash Book:** He should check the next year cash book to confirm that they have been paid off by the time of audit.
3. **Compare Expenses with Previous year:** He should compare the list of outstanding expenses of the current year with that of the previous year to identify deviations, if any.
4. **Verify Provision Created:** He should see whether necessary provision for all outstanding expenses has been made by checking relevant receipts and vouchers.

6.6 Verification of Contingent Liabilities

6.6.1 Meaning

Contingent liabilities are those liabilities, which may or may not arise in the future for payment. The auditor should ensure that all known and unknown liabilities





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